

University of Zambia

Economics Department

ECN 1215: Introduction to Macroeconomic Theory

ECN 1215: Tutorial Sheet 4 Second Half

22/06/2014

Instructions: **Only go through the tutorial sheet after you've read your class notes!!!**

1. Define (i) Absolute Advantage (ii) Comparative advantage (iii) Specialisation (iv) Trade (v) Opportunity cost
2. Assume only one worker in each economy. And this worker is only able to produce and consume one commodity (.i.e. cotton or cameras) in a given period of time, 1 week.

Table 2.1: Illustrating gains from trade using Absolute Advantage

	Zambia	Japan
Cotton (kilograms per worker)	100	50
Digital Video Cameras (per worker)	5	10

- (a) With reference to table 2.1, indicate which commodity Zambia and Japan have an absolute advantage.
 - (b) How will Table 2.1 look like after each country has specialised?
 - (c) Suppose Zambia exchanges 50 kg cotton to Japan in exchange for exchange for 5 cameras. How would Zambia and Japan benefit from trade?
3. (a) What concept lies at the heart the law of comparative advantage?
(b) Suppose there are only two countries in the world, Germany and South Africa. The table below summaries the maximum output per worker per day in both countries.

Table 3.1: Illustrating gains from trade using Comparative Advantage

	Germany	South Africa
Cars (per worker)	2	1
Wine (barrels per worker)	8	6

From table 3.1, indicate: (i) whether Germany has absolute advantage or disadvantage in cars and wine, (ii) the commodity in which Germany and South Africa has absolute advantage, (iii) the gains to Germany and South Africa if they exchange 1C for 6W.

4. Discuss the three most important sources of comparative advantage (supply) in an economy.
5. (i) Does free trade maximise world welfare? Explain. (ii) What are some of the arguments for restricting trade? How do they restrict trade?
6. (i) What is meant by a nations' balance of payment? (ii) What are the three main accounts in the Zambian balance of payment? What does each measure?
7. What is meant by the exchange rate? How does the foreign exchange rate market determine the equilibrium exchange rate?
8. What happens to the equilibrium exchange rate when there is: (i) a decrease in the supply of foreign currency (.i.e. dollars) per day? (ii) An increase in the demand for foreign currency (.i.e. dollars) per day?
9. Complete Table 9.1 below which shows the impact of a change in the exchange rate (kwacha/dollar) on the Zambian economy.

	Impact on			
Changes in (K/\$) exchange rate	Export prices (in dollars)	Import prices (in kwacha)	Current account	Domestic prices
Kwacha depreciates				
Kwacha appreciates				

10. Suppose the domestic currency (.i.e. kwacha) is depreciating and the Bank of Zambia decides to intervene in the economy by increasing the supply of foreign currency (.i.e. dollars). By using a well labelled explain what would happen to the kwacha in the short run.
11. Under a floating exchange rate, what three policy instruments are at the dispose of the central bank for intervention purposes? How do they work?